

Senate's permitting package would be net positive for data centers

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Powell is unlikely to leave the Fed as long as Trump's attacks continue

Senate's permitting package would be net positive for data centers. The Senate's new permitting package has major implications for the data-center buildout; the bill's provisions on ratepayer protections would set new operating conditions for data-center power procurement.

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If passed, the bill would encourage a state-level trend toward 'large load tariffs' designed specifically for data centers. In particular, the bill would amend the Federal Power Act to forbid the costs of electricity investments that are necessary for new data centers to be socialized across other ratepayers; it would also explicitly allow utilities to charge data centers at higher rates.

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These provisions would likely raise the all-in energy costs for new data centers, but they would improve policy certainty for credible projects. That alone would address a major barrier for the industry, and federal actions around ratepayer protections would narrow the policy differences between states.

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More broadly, improved certainty and relatively eased permitting processes for new generation and transmission projects of all types, addressed by other sections of the bill, would improve data centers' power procurement options. These expanded avenues to procuring grid-supplied power would pave the way for the US AI buildout to continue despite recent policy volatility.

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For more, please see Permitting package would accelerate timelines and raise costs for data center power procurement , 1 October 2026.

US exit leaves Iraq vulnerable to growing militia influence. The United States military is officially winding down its operations in Iraq. The US airlifted personnel and materiel from its now-closed Erbil Air Base to meet yesterday's deadline negotiated under the Biden administration, marking the end of over twenty

years of conflict and US military presence in Iraq – including the 2003 invasion, withdrawal, and subsequent reengagement in 2014 to fight ISIS.

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The US intends to leave a small footprint in Iraq, comprised of intelligence officers, contractors, security forces, and advisors. However, US-Iraqi cooperation in key counterterrorism operations has slowed to an effective halt due to the Iran war. Without much tangible US cooperation to bank on, the task of disarmament will ultimately fall to Iraqi Prime Minister Ali al-Zaidi, a businessman-turned-politician with support from President Trump, and the often under-funded and under-performing Iraqi military.

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Some militias have aligned with al-Zaidi and disarmed in hopes of economic relief and further political enfranchisement, but others, more aligned with the IRGC, have categorically rejected calls to disarm in solidarity with Tehran. These militias remain prominent and capable partners for Iran: the recent attacks on Saudi Arabia's East-West pipeline originated from within Iraqi borders. In practice, al-Zaidi has less resources and political will to compel militias to disarm than IRGC-aligned militias have to resist disarmament in the short-to-medium term, as reflected in the Iraqi government's move to punt the disarmament deadline to 30 June next year.

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The US exit, while negotiated in advance, reflects the current administration's willingness to walk away without addressing militia disarmament, which had been previously linked to any US withdrawal. This strategic about-face is likely shaped by the ongoing war in Iran and a desire to reduce US footprint in the Middle East, indicating that al-Zaidi has political space to address disarmament without the threat of punitive sanctions in the near-term. The course of the Iran war is an important watch point: as Iranian options are constrained they may lean on militias, which have historically been a lever of first choice for Tehran and pose political and security risks for the al-Zaidi government and neighboring Gulf states.

Powell is unlikely to leave the Fed as long as Trump's attacks continue. The Fed's inspector general found that former Fed Chair Jerome Powell committed no criminal wrongdoing or "administrative misconduct" related to the Fed's headquarters renovation, which was the subject of a major dispute between Powell and the White House last year.

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This isn't the end of the road for the matter; though the Department of Justice has closed the criminal investigation into Powell over the renovation, US Attorney for the District of Columbia Jeanine Pirro has threatened to restart it at any time.

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We continue to think that Powell's decision to leave the Fed board, thereby giving the White House an open slot, likely depends on whether he receives definitive assurances from Pirro or Trump himself that the renovation issue is completely resolved. Yesterday's Truth Social post from the president, in which he threatens to sue Powell over "corruption or incompetence," suggests no such resolution is likely in the near term.

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In our basecase of a Democratic Senate post-midterms (55% odds), a departure of both Powell and Fed governor Michael Barr—who could resign or be dismissed over his handling of the Silicon Valley Bank collapse (see Fed report sets up pretext for White House to fire Barr , 19 September 2026)—would open the door to a "paired" confirmation of two Fed nominees on a compromise basis, though it's also possible that vacancies simply lasts through the Trump term.

Quote of the Day

"Qualities like grit and courage [have been] replaced with political correctness and social justice. God and country traded for Che Guevara and critical theory." – Secretary of Defense Pete Hegseth at his address to officers at Marine Corps Base Quantico yesterday. Among the top-line items in his speech, Hegseth announced a new autonomous warfare command, a domestic base competition, and a new Office of Religious Affairs. The speech rehashed much of Secretary Hegseth's culture-war focus, translating it into institutional reforms that empower like-minded officers and outside voices while cutting ties with institutional veterans and Ivy League university partners. If Hegseth launches a 2028 presidential bid, expect these culture-war themes to play a major role in defining his political identity.

On the Radar

12-18 October: IMF and World Bank Annual Meetings

30-31 October: G20 Foreign Ministers' meeting

3 November: National midterm elections

9 November: Congress returns from recess

18-19 November: APEC leaders meeting in China

11 December: Government funding runs out

14-15 December: G20 summit in Florida

10 January: US-China tariff truce expires

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